

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

PELTON INTERACTIVE, INC., *Complainant*

v.

FLEXPORT INTERNATIONAL LLC, *Respondent*.

DOCKET NO. 24-19

Served: January 29, 2025

ORDER OF: Linda S. Harris CROVELLA, *Administrative Law Judge*.

ORDER DENYING MOTION FOR JUDGMENT ON THE PLEADINGS AND DENYING CROSS-MOTION TO STRIKE

I. INTRODUCTION

On October 2, 2024, Complainant Peloton Interactive, Inc. (“Peloton”) filed its Amended Complaint (“Amended Complaint”). On October 29, 2024, Respondent Flexport International LLC (“Flexport”) filed its Answer, including affirmative defenses and exhibits. A scheduling order was then issued on November 8, 2024, calling for the service of initial written discovery requests by November 13, 2024, and for document production to be completed by December 16, 2024.

On November 27, 2024, prior to the completion of discovery, Flexport filed a motion for judgment on the pleadings (“Motion”). On December 12, 2024, Peloton responded, filing a cross-motion to strike or, in the alternative, opposition to Respondent’s motion for judgment on the pleadings (“Opposition”). On December 19, 2024, Flexport filed its reply memorandum to its motion for judgment on the pleadings (“Reply”).

Separate from these motions, a video status conference was held on December 18, 2024, to discuss discovery issues. The result was a Memorandum Order, which stated in part:

At the status conference, Complainant stated that it had provided 36,000 pages of documents on December 16, 2024, the deadline in the Scheduling Order, and it was preparing to provide another 20,000 pages on Friday, December 20, 2024. Respondent stated that it worked diligently to produce documents on December 13, 2024, pursuant to Complainant’s request. Complainant added that it did not access Respondent’s documents until December 17, 2024, to alleviate any concerns that it had access to documents before Respondent had access to Complainant’s production.

Based on the statements of the parties at the status conference, and because the need for as complete a record as possible outweighs any potential prejudice, the Complainant is **ORDERED** to provide a second batch of records by December 20, 2024, and is **FURTHER ORDERED** to provide any remaining documents to Respondent no later than 5 p.m. on December 23, 2024.

Memorandum Order on Scheduling (ALJ Dec. 18, 2024) (“Discovery Order”).

Peloton’s Amended Complaint alleges violations of 46 U.S.C. § 41102(c) (unreasonable practices); 46 U.S.C. § 41104(a)(15) (noncompliant invoices); and 46 U.S.C. § 41104(a)(14) (unreasonable charges). Flexport does not organize its motion based on the Shipping Act sections it seeks to have dismissed. Rather, Flexport asserts that it seeks the dismissal of Peloton’s complaint because: the Amended Complaint consists of conclusory allegations tracking the bare elements of Shipping Act claims; two-thirds of the invoices at issue are time-barred and there are only a handful of invoices for which OSRA-22 would apply; and the “crux of Peloton’s claim – that Flexport should be responsible for the detention and demurrage charges because these were ‘store door’ moves” – is contradicted by the agreements, which “provide that all transportation were ‘CY-CY’ moves¹ (not store door) and that Peloton would be responsible for demurrage and detention charges.” Motion at 3, 5-11; Reply at 8-12.

Peloton asserts in response that there are multiple issues of material fact that remain in dispute requiring relevant, targeted fact and expert discovery, including facts related to the date of accrual for various claims; facts related to Flexport’s performance of its obligations and its responsibility for detention and demurrage charges that accrued; and facts regarding the reasonableness of Flexport’s practices. Opposition at 11-17.

Peloton also asserts, in arguing that Flexport’s motion for judgment on the pleadings ought to be struck from the record, that Flexport’s motion is repetitious of the motion to dismiss which was denied; the motion for judgment on the pleadings is not consistent with sound administrative practice; and Flexport’s motion is inconsistent with the scheduling order in this proceeding. Opposition at 4-10. Flexport contends in response that the motion is not repetitive and that the motion is neither frivolous nor inappropriate. Reply at 4-8.

Regarding the cross-motion to strike, Peloton’s arguments are well taken. However, as discussed more below, the cross-motion to strike the Motion is **DENIED** and the arguments advanced in Flexport’s motion are evaluated in this order.

Flexport requests in its motion that the entire Amended Complaint be dismissed. Motion at 11 (“Based on the foregoing, Flexport respectfully requests that the Commission enter judgment on the pleadings dismissing the Amended Complaint.”). Flexport’s arguments will therefore be separately addressed in the context of the three Shipping Act violations alleged by Peloton. For the reasons discussed below, Flexport’s motion is **DENIED**.

¹ This abbreviation stands for container yard to container yard move.

II. JUDGMENT ON THE PLEADINGS STANDARD

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions for judgment on the pleadings, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure ("Federal Rules") will be followed in instances where there is no equivalent Commission rule, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12.

"Judgment on the pleadings is appropriate where material facts are undisputed and where a judgment on the merits is possible merely by considering the contents of the pleadings." *Sellers v. M.C. Floor Crafters, Inc.*, 842 F.2d 639, 642 (2d Cir. 1988) (citing *National Fidelity Life Ins. Co. v. Karaganis*, 811 F.2d 357, 358 (7th Cir. 1987)). A material fact is one that is capable of affecting the outcome of litigation. *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248 (1986).

"Motions for judgment on the pleadings are brought under Federal Rule of Civil Procedure 12(c), and motions to dismiss for failure to state a claim are brought under Rule 12(b)(6). The standard of review under these motions 'is essentially the same.'" *Ovchinnikov v. Hitrinov*, Docket No. 15-11, 2023 WL 1963462, at *5-6, 6 F.M.C. 2d 106, 115 (FMC Feb. 8, 2023) (citing *Schuchart v. La Taberna Del Alabardero, Inc.*, 365 F.3d 33, 35 (D.C. Cir. 2004); *Samuels v. Safeway, Inc.*, 391 F. Supp. 3d 1, 2 (D.D.C. 2019)). The Commission further explained:

On either motion, fact finders are to construe claims liberally, accept as true all well-pleaded facts, and draw all reasonable inferences in the complainant's favor. *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009); *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 555 (2007). Although a fact finder "generally may not rely on facts 'outside' the pleadings in deciding [either] motion, . . . it may consider matters incorporated by reference or integral to the claim, items subject to judicial notice, and matters of public record." *United States v. All Assets Held at Bank Julius Baer & Co.*, 772 F. Supp. 2d 191, 197 (D.D.C. 2011) (internal citations and alterations omitted).

Ovchinnikov v. Hitrinov, at *6. "A Court will grant judgement on the pleadings only if it is clear that no relief could be granted under any set of facts that could be proved consistent with the allegations. If there are allegations in the complaint which, if proved, would provide a basis for recovery, the Court cannot grant judgement on the pleadings. *Lightfoot v. Dist. of Columbia*, 2006 WL 54430, at *2 (D.D.C. Jan. 10, 2006) (citations omitted); *see also Safbank Line Ltd. v. Royale Int'l Transport, Inc.*, Docket No. 90-05, 1990 WL 427446, at *5-6 (ALJ Apr. 23, 1990) ("summary judgments and judgments on pleadings are not normally favored because the courts prefer to decide the merits of controversy on a full record. The Commission has itself expressed its preference for decisions on a full record rather than on the basis of mere pleadings."), admin. final June 8, 1990.

III. ANALYSIS

A. Count I: Claims Alleging Unreasonable Practices under Section 41102(c)

Section 41102(c) of the Shipping Act, previously section 10(d)(1), states that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). On December 17, 2018, after notice and comment, the Commission issued Rule 545.4, specifying the elements of a section 41102(c) claim. Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (Dec. 17, 2018). Rule 545.4 states:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

Flexport asserts, relating to count I, that it is “entitled to judgment as a matter of law with respect to the time-barred invoices as to all counts.” Motion at 6 (also noting that of the 3,249 invoices listed in Peloton’s Exhibit A, “2,164 of these invoices – or two-thirds – were issued more than three years before Peloton filed its complaint and are thus time-barred.”).

It is true that under the Shipping Act, reparations may only be awarded to a complainant for injury caused by a respondent’s violation of the Shipping Act if the complaint is filed within three years after the claim accrues. 46 U.S.C. § 41301(a). However, the three-year statute of limitations only bars the award of reparations, not the filing of a complaint or the issuance of a cease and desist order. As the Commission explained in *Maher Terminals*:

Unlike other statutory schemes, there is no overarching statute of limitations in the [Shipping] Act – that is, parties are not barred from alleging and proving a violation of the Act at any time. The Act merely prohibits a complainant from seeking reparations for an injury to the complainant if the complaint is filed more than three years after the cause of action accrued. 46 U.S.C. § 41301(a). Even after the remedy of reparations is no longer available, the remedy of a cease and

desist order is available to a complainant who is able to prove a violation of the Act and show that unlawful conduct is ongoing or likely to resume.

Maier Terminals, LLC v. the Port Authority of New York & New Jersey, Docket No. 08-03, 2013 WL 9808667, at *8 (FMC Jan. 31, 2013). Also in *Maier Terminals*, the Commission summarized that on “May 16, 2011, the ALJ granted PANYNJ’s motion for summary judgment that Maier’s reparations claim was barred by the statute of limitations but denied its motion that Maier’s claim for cease and desist relief was similarly barred.” 2013 WL 9808667, at *2. The Commission concluded: “The language of the Act is clear that the three-year statute of limitations applies only to claims for reparations. PANYNJ’s arguments that the Act’s statute of limitations bars a claim for cease and desist relief are not persuasive.” 2013 WL 9808667, at *3.

Here, Peloton has requested a cease and desist order in addition to “any other and further relief that the FMC deems is just and proper.” Amended Complaint at 13. Therefore, it would not be appropriate to dismiss the claims related to the invoices at this stage, based solely on their date of issue.

Flexport also argues that Peloton’s claims related to detention and demurrage (“D&D”) are defective because the parties’ agreements indicate that Peloton, not Flexport, is responsible to pay for detention and demurrage charges. *See, e.g.*, Reply at 10 (“Flexport only argues that Peloton’s claim that Flexport breached the Shipping Act by charging any detention and demurrage when the terms of the parties’ agreements mandated that Flexport absorb these expenses is directly contradicted by the terms of those very contracts.” (emphasis omitted)); Motion at 7 (“Peloton’s entire claim centers on its contention that Flexport agreed to provide ‘store door’ transportation services, in which Flexport would not only be responsible for arranging for the inland transportation – and the return of the containers – but pay any charges associated with such moves.” (emphasis omitted)).

But Peloton has alleged a Shipping Act claim, not a contract claim. Apart from which party would be responsible for D&D charges pursuant to any agreements between the parties, Peloton has alleged that Flexport engaged in unreasonable practices with respect to detention and demurrage and seeks reparation for those damages. Specifically, Peloton asserts that Flexport acted as an NVOCC for the relevant shipments, that Flexport handled both the ocean and inland transportation for relevant shipments, and that Flexport engaged in unreasonable detention and demurrage practices, including that: “Flexport failed to properly perform its inland transportation obligations,” including failure to timely remove, failure to timely deliver, and failure to timely return empty containers; and that Flexport “unreasonably assessed D&D charges against Peloton . . . without first undertaking an evaluation as to whether Flexport was responsible for the charges or whether its acts or omissions were a cause or contributing factor to the charges.” Amended Complaint, ¶¶ 5, 10-11, 14-17, 26-27, 49; *see also* Opposition at 13. Peloton has plausibly alleged a violation, particularly given the unfinished state of discovery, and drawing all reasonable inferences in Peloton’s favor.

Indeed, there is considerable material factual disagreement between the parties, including over the relevant shipment terms and whether Flexport acted as an NVOCC for the contested

shipments,² both questions themselves being fact-intensive inquiries. As the Commission has explained:

The Commission’s methodology for deciding common carrier status . . . considers the totality of circumstances and “their combined effect.” This fact-intensive inquiry looks “beyond documentary labels” and delves into respondent’s conduct regarding shipments at issue, while considering that the respondent may have acted as a common carrier in handling some shipments, but not others.

CMI v. Service By Air, Docket No. 17-05, 2021 WL 3367603, at *5 (FMC July 26, 2021) (citations omitted); *see also Prudential Lines, Inc. v. Farrell Lines, Inc.*, Docket No. 83-14, 1984 WL 136290 (ALJ Apr. 30, 1984) (describing a case in which “respondent claimed that it was not a carrier but a ‘shipper’s agent’ not subject to tariff-filing requirements. However, respondent was found to be a carrier by virtue of what it actually did, not what it named itself”), admin. final June 7, 1984.

In order to succeed on a section 41102(c) claim, Peloton will ultimately need to demonstrate that Flexport acted as an NVOCC or ocean transportation intermediary for the shipments at issue, and that the relevant acts or omissions were occurring on a normal, customary, and continuous basis. Peloton will also need to support its claim with additional specificity regarding Flexport’s role in causing or contributing to D&D charges and showing why Flexport’s practices were unreasonable. *Compare Hapag-Lloyd, A.G. & Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. § 41102(c)*, Docket No. 21-09, 2022 WL 3093193, at *2 (ALJ Apr. 22, 2022) (finding that respondent violated section 41102(c) where it imposed and refused to waive detention charges where there were insufficient appointments to return these empty containers), proposed settlement agreement approved by Commission in 2022 WL 2209416 (FMC June 8, 2022), *and Way Interglobal Network, LLC v. Shenzhen Unifelix SCM Ltd.*, Docket No. 22-28, 2024 WL 1741944, at *31 (ALJ Apr. 19, 2024) (finding a section 41102(c) violation where the respondent unreasonably held containers based on demands for fees for other containers), *with Tereno Sbn Bhd v. C. H. Robinson Int’l, Inc.*, Docket No. 1972(I),

² *See, e.g.*, Amended Complaint, ¶ 15 (indicating that Flexport transported Peloton’s goods in ocean shipping containers under “store door” terms); Answer, ¶ 15 (indicating that “As an NVOCC, Flexport made arrangements for the transportation of a portion of Peloton’s goods to the port, CY-CY. Flexport would also make arrangements for inland transportation in accordance with the MSAs [Master Service Agreements]” but further asserting: “As reflected on the face of these documents the terms of ocean transport were CY-CY, which means that Flexport’s responsibilities for such shipments as an NVOCC ended at the relevant port. For such shipments, if Flexport was retained to arrange for the inland transportation, it performed such services as a customs broker or broker as clearly the inland moves were not covered by the applicable bills of lading. For these moves, any demurrage or detention charges, as set forth in the MSAs and Flexport’s Rules Tariff, were assessed by third parties and passed to Peloton.”); Motion at 8-10 (indicating that the shipment terms were port-to-port (“CY-CY”) but also that detention and demurrage charges were subject to Flexport’s tariff rules); *but also see* Answer, ¶ 35 (asserting that “Flexport at all times bent over backwards to find space for Peloton to store the products and motor carriers to move them. Further, Flexport at all times kept Peloton well aware as to delivery schedules, timetables, and the need to move the cargo to avoid or minimize D&D charges.”).

2022 WL 3093188, at *9-10 (SCO Jan. 27, 2022) (finding no section 41102(c) violation where the respondent “acted promptly and reasonably to move the cargo” and the evidence did “not establish Claimant’s allegations that Respondent’s conduct caused the demurrage to accrue.”), *aff’d*, 2022 WL 910282, at *1 (FMC Mar. 22, 2022) (noting that Claimant’s claim failed “not because Respondent was passing on the charge, but because Claimant did not prove that Respondent acted unreasonably and because there was evidence that Claimant did not satisfy its obligation to timely provide the documentation needed to release its cargo”), and *Bakerly, LLC v. Seafrigo USA, Inc.*, Docket No. 22-17, 2024 WL 95381, at *43-44 (ALJ Jan. 3, 2024) (finding no section 41102(c) violation where respondent’s tariff rule was held to be consistent with Commission case law and a reasonable practice, and where the evidence did not show that the relevant charges were attributable to respondent, nor that respondent “caused or contributed” or was “otherwise responsible” for the charges), *aff’d*, 2024 WL 4678461, at *1 (FMC Oct. 30, 2024).

But at this stage of the proceeding with respect to Peloton’s section 41102(c) claim, it has not been demonstrated that no relief could be granted under any set of facts that could be proven consistent with the allegations. This is particularly the case considering that thousands of invoices are potentially at issue, as are a collection of Master Service Agreements, Negotiated Service Agreements, and Negotiated Rate Agreements, which will need to be considered in the context of the services that Flexport actually performed for the relevant shipments. Amended Complaint, ¶ 14; Answer, ¶ 14; *CMI*, 2021 WL 3367603, at *5 (assessing carrier status is a “fact-intensive inquiry [which] looks ‘beyond documentary labels’ and delves into respondent’s conduct regarding shipments at issue, while considering that the respondent may have acted as a common carrier in handling some shipments, but not others.”). Further, the information necessary to determine whether Flexport’s practices were reasonable or unreasonable may well be entirely in the possession of Flexport, reinforcing the import of discovery and a more fully developed record here in fairness to Peloton, the party with the ultimate burden of proof. *EuroUSA Shipping, Inc., Tober Group, Inc., and Container Innovations, Inc.*, Docket No. 06-06, 2008 WL 7149852, at *6 (FMC Dec. 18, 2008). Flexport’s motion for judgment on the pleadings is therefore denied with respect to Peloton’s 41102(c) claim.

B. Count II: Claims Alleging Noncompliant Invoices under Section 41104(a)(15)

The Ocean Shipping Reform Act of 2022 (“OSRA 2022”) amended section 41104 to create new requirements for detention and demurrage invoices. OSRA 2022, Pub. L. 117-146, June 16, 2022, 136 Stat 1272, 1274 § 6. Thus, section 41104 provides that:

(a) In general.—A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not— . . .

(15) invoice any party for demurrage or detention charges unless the invoice includes information as described in subsection (d) showing that such charges comply with—

(A) all provisions of part 545 of title 46, Code of Federal Regulations (or successor regulations); and

(B) applicable provisions and regulations, including the principles of the final rule published on May 18, 2020, entitled “Interpretive Rule on Demurrage and Detention Under the Shipping Act” (or successor rule);

(d) Detention and demurrage invoice information.—

(1) Inaccurate invoice.—If the Commission determines, after an investigation in response to a submission under section 41310, that an invoice under subsection (a)(15) was inaccurate or false, penalties or refunds under section 41107 shall be applied.

(2) Contents of invoice.—An invoice under subsection (a)(15), unless otherwise determined by subsequent Commission rulemaking, shall include accurate information on each of the following, as well as minimum information as determined by the Commission:

(A) Date that container is made available.

(B) The port of discharge.

(C) The container number or numbers.

(D) For exported shipments, the earliest return date.

(E) The allowed free time in days.

(F) The start date of free time.

(G) The end date of free time.

(H) The applicable detention or demurrage rule on which the daily rate is based.

(I) The applicable rate or rates per the applicable rule.

(J) The total amount due.

(K) The email, telephone number, or other appropriate contact information for questions or requests for mitigation of fees.

(L) A statement that the charges are consistent with any of Federal Maritime Commission rules with respect to detention and demurrage.

(M) A statement that the common carrier's performance did not cause or contribute to the underlying invoiced charges.

. . . .

(f) Elimination of charge obligation.—Failure to include the information required under subsection (d) on an invoice with any demurrage or detention charge shall eliminate any obligation of the charged party to pay the applicable charge.

46 U.S.C. § 41104. The statute relieves the invoiced party from the obligation to pay if the required information is not included. However, OSRA 2022 also created a safe harbor provision with respect to section 41104(a)(15), which states:

(e) Safe harbor.—If a non-vessel operating common carrier passes through to the relevant shipper an invoice made by the ocean common carrier, and the Commission finds that the non-vessel operating common carrier is not otherwise responsible for the charge, then the ocean common carrier shall be subject to refunds or penalties pursuant to subsection (d)(1).

46 U.S.C. § 41104(e).

Peloton alleges that “on or after June 16, 2022, Flexport issued invoices to Peloton,” which were non-compliant under section 41104(a)(15) of OSRA 2022. Amended Complaint, ¶ 38. Flexport contends that “of these 19 invoices which Peloton claims violated OSRA: (a) 3 invoices were in fact issued before OSRA; (b) 7 invoices were for storage charges, not D&D; and (c) for the remaining invoices, any missing information were contained in OSRA addenda issued by Flexport.” Motion at 6 n.7.

Flexport thus concedes that some invoices post-date OSRA 2022, and that the face of the invoices may not have complied with section 41104(a)(15). Both the invoices and any relevant addenda will need to be considered in a determination on the merits of the allegations, in addition to evidence indicating what information was provided by the ocean common carrier. However, a party moving for judgment on the pleadings has the burden of showing that no relief could be granted under any set of facts that could be proved consistent with the allegations, and Flexport has not met this burden with respect to section 41104(a)(15).

Flexport argues as well that “with respect to Count II, Flexport is entitled to judgment as a matter of law for every invoice with the exception of the 19 highlighted in Flexport’s Exhibit ‘A.’” Motion at 6. While it is accurate that a section 41104(a)(15) violation could not be shown for invoices issued prior to this section being adopted, Peloton concurs on this point. The Amended Complaint specifically alleges that invoices issued “on and after” OSRA 2022 lacked certain information required by section 41104(d)(2). Amended Complaint, ¶¶ 38-39, 53-54. Flexport’s argument on this point is therefore moot.

For the reasons discussed, Flexport’s motion for judgment on the pleadings is therefore denied with respect to Peloton’s section 41104(a)(15) claim.

C. Count III: Claims Alleging Unreasonable Charges under Section 41104(a)(14)

The OSRA 2022 prohibition on unreasonable charges provides:

(a) In general. –A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not– . . .

(14) assess any party for a charge that is inconsistent or does not comply with all applicable provisions and regulations, including subsection (c) of section 41102 or part 545 of title 46, Code of Federal Regulations (or successor regulations);

46 U.S.C. § 41104(a)(14). Peloton asserts in its Amended Complaint that “Flexport’s practices and actions in connection with assessment of D&D charges in and after the effective date of OSRA would also violate 46 U.S.C. § 41104(a)(14).” Amended Complaint, ¶ 58. Flexport does not specifically address 41104(a)(14), either in its motion or in its reply.³ Motion at 1-11; Reply at 1-12. Flexport thus has not carried its burden pertaining to this section, and Flexport’s motion for judgment on the pleadings is also denied with respect to Peloton’s section 41104(a)(14) claim.

D. Peloton’s Cross-Motion To Strike

Peloton asserts, in arguing that Flexport’s motion for judgment on the pleadings ought to be struck from the record, that Flexport’s motion is repetitious of the motion to dismiss which was denied; the motion for judgment on the pleadings is not consistent with sound administrative practice; Flexport’s motion is inconsistent with the scheduling order in this proceeding and was not conferred upon; and entertaining this motion will only serve to cause further delay. Opposition at 4-10.

Flexport contends in response that the motion is not repetitive and that the motion is neither frivolous nor inappropriate. Reply at 4-8.

Here, Flexport’s motion is not merely repetitious of its motion to dismiss, which was filed prior to Peloton’s entry of its Amended Complaint and Flexport’s Answer; and if a proceeding can be resolved solely on the pleadings, administrative practice would be well served. Regarding Peloton’s assertion that the Motion violates the Scheduling Order, such motions typically are not included in the scheduling order. Conferral also is not required for dispositive motions. 46 C.F.R. § 502.70. Finally, regarding Peloton’s contention that review of this motion will cause delay, this is not the case, as the parties have continued to move forward with discovery, evidenced by their recent filing of motions to compel. Accordingly, Peloton’s cross-motion to strike Flexport’s motion for judgment on the pleadings is denied.

³ Flexport’s only argument overlapping with count III is its assertion that it is “entitled to judgment as a matter of law with respect to the time-barred invoices as to all counts,” (Motion at 6) which argument has already been addressed and rejected *supra*.

IV. ORDER

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that Complainant's cross-motion to strike Respondent's motion for judgment on the pleadings is **DENIED**. It is

FURTHER ORDERED that Respondent's motion for judgment on the pleadings is **DENIED**.



Linda S. Harris Crovella
Administrative Law Judge